AMPERITY

Uncovering Business Opportunities and Challenges



Presented By:Team 4
Pranay
Nishita
Nethra
Shwetha
Murphy

By submitting this deck of case slides,the members of our team affirm that we all participated in the analysis of the case and the creation of this document.

5Cs SITUATIONAL ANALYSIS

Amperity | First-Party Data at a Crossroads

COMPANY

- 3 products: AmpID, Amp360, AmpIQ
- ~$100M ARR, <10% churn, 340 employees
- Unicorn ($1B valuation, July 2021)
- Core edge: ML-based identity resolution
- Fixed pricing on profile count + data

CUSTOMERS

- Fortune 500 & large consumer brands
- Pain: fragmented data, duplication (2:1 to 20:1)
- Long sales cycle (~1 year), multi-stakeholder
- Need: unified profiles, compliance, CRM activation

COMPETITION

- End-to-End CDPs: Salesforce, Adobe, Oracle
- Event Routing: Segment, Tealium, mParticle
- Composable: Databricks, Snowflake, Hightouch
- Amperity edge: superior live ID resolution

COLLABORATORS

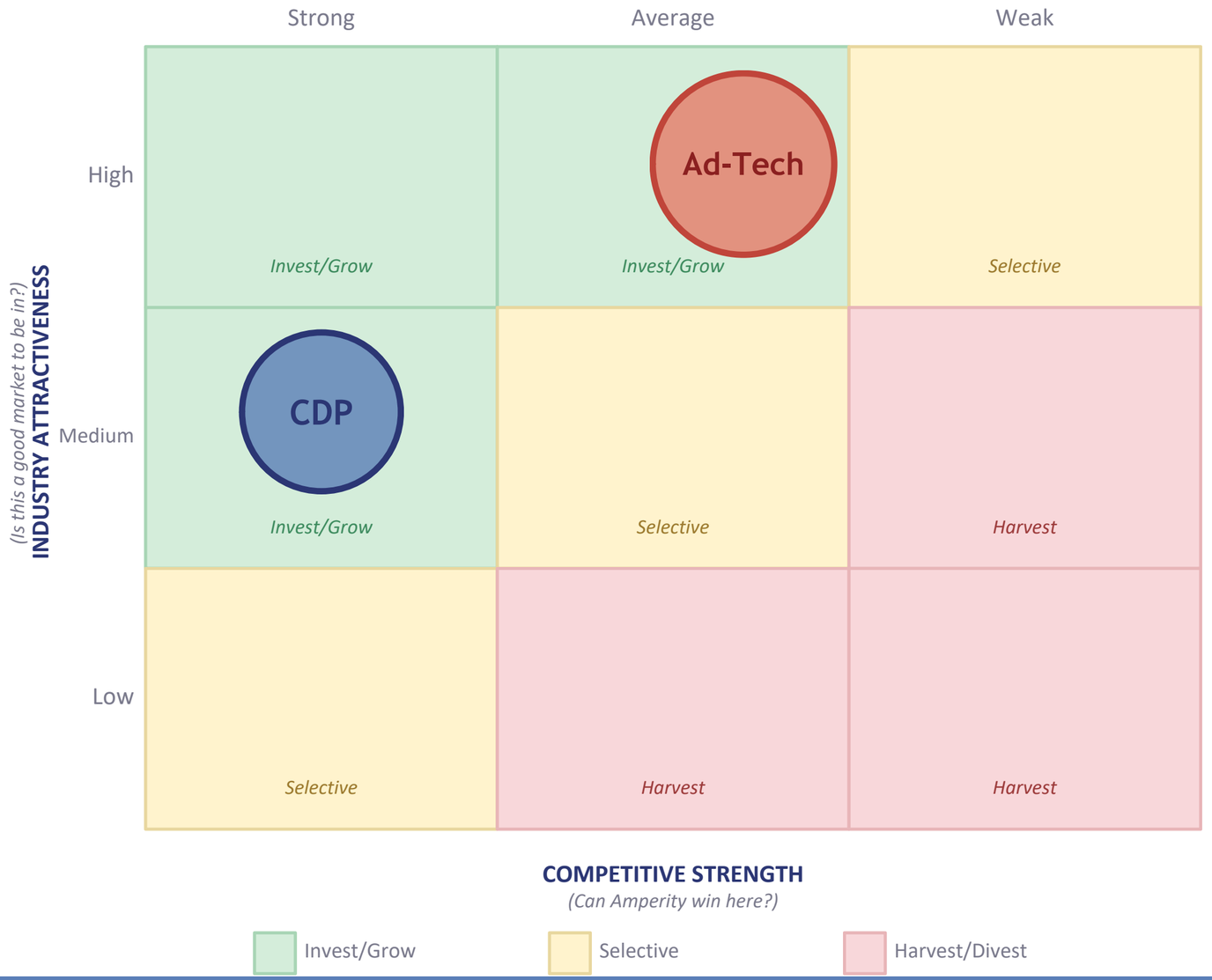
- Cloud infra: AWS, Azure
- Data partners: Databricks, Snowflake
- Potential: Meta, Google (ad platform APIs)
- Agency channel: WPP, Omnicom, Publicis

CONTEXT

- Cookie deprecation & Apple ATT (6-25% opt-in)
- GDPR/CCPA regulatory pressure
- $5B CDP market vs $700B digital ad market
- GenAI becoming table stakes

GE-McKINSEY MATRIX: CDP vs AD-TECH

How attractive is the market, and how well can Amperity compete in it?



CDP Path

Industry Attract.	**Medium**	**$5B market, 33% CAGR but crowded with big players**
Competitive Strength	**Strong**	**Best-in-class ML identity resolution, <10% churn**
Verdict	**Invest / Grow**	**Double down: protect lead, expand features**

Ad-Tech Path

Industry Attract.	**High**	**$700B digital ad market, privacy driving disruption**
Competitive Strength	**Weak**	**No ad-tech product today, entirely new GTM needed**
Verdict	**Selective**	**Tempting market, but high execution risk for Amperity**

PORTER'S FIVE FORCES: CDP INDUSTRY

Five competitive pressures that determine how much profit Amperity can capture

Threat of New Entrants

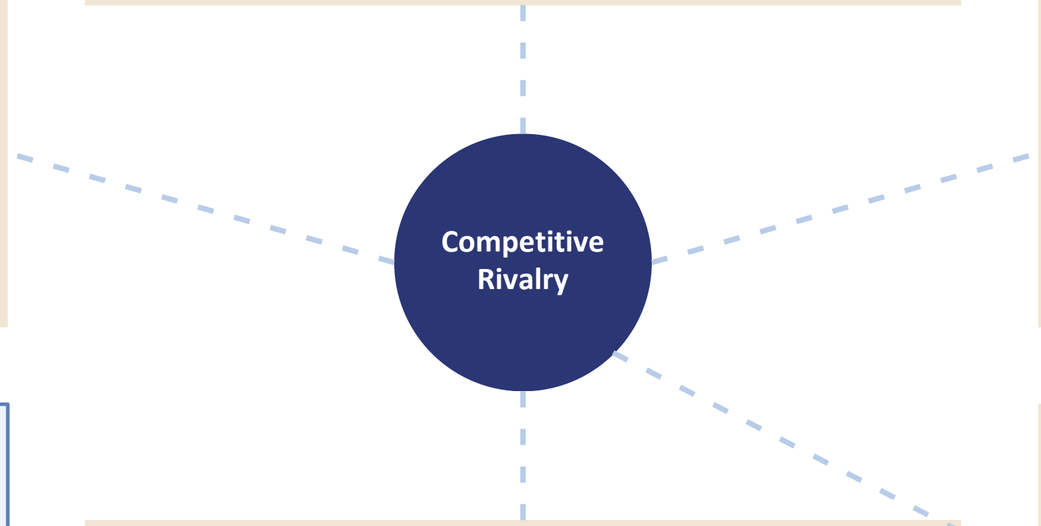
MEDIUM

- Anyone can build a basic CDP, but replicating ML identity resolution is hard
- Risk: cloud giants (AWS, Google) could bundle data tools cheaply

Supplier Power

HIGH

- AWS/Azure cloud costs scale with data volume ingested
- Amperity's fixed-price contracts cannot pass rising costs to clients
- Result: costs go up, revenue stays flat = margin squeeze



Buyer Power

HIGH

- Fortune 500 buyers have leverage and many options (Adobe, Salesforce)
- Year-long sales cycles mean high acquisition cost per client
- Once data is ingested, switching costs are only moderate (not a lock-in)

KEY INSIGHT

3 of 5 forces rate HIGH, meaning profit margins are structurally under pressure. High buyer power + rising supplier costs on fixed contracts = margin squeeze. Amperity's ML identity resolution is its primary moat, but hybrid pricing is needed to survive.

Threat of Substitutes

MEDIUM

- In-house data teams at large enterprises can build custom solutions
- Composable CDPs (Snowflake + Hightouch) offer a modular, cheaper path

Rivalry Intensity

HIGH

- Salesforce & Adobe have massive bundled ecosystems clients already use
- Composable players (Databricks, Snowflake) expanding into CDP fast
- Usage-based competitors undercut Amperity's fixed pricing model

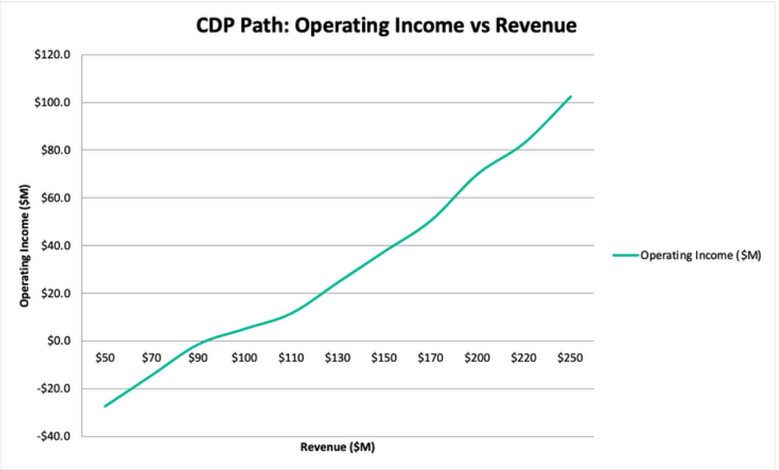
HIGH = strong pressure on margins **MEDIUM** = pressure exists but manageable

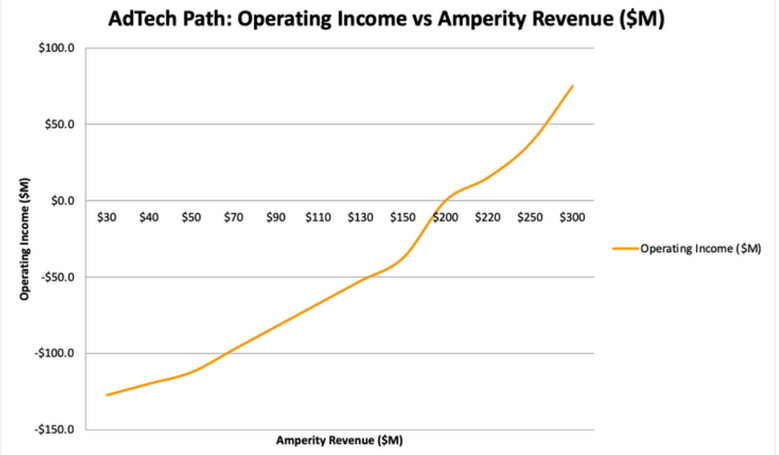
QUANTITATIVE ANALYSIS

High-level financial comparison of the status quo versus the two strategic directions.

CURRENT ARR	GROSS MARGIN	VARIABLE COST	CDP BREAKEVEN	ADTECH BREAKEVEN	CDP MARKET	ADTECH TAM
$100M	65%	35%	~$92M	~$200M	$5B	$700B

Dimension	Current State	CDP Path (A)	AdTech Path (B)
Pricing Model	Fixed annual license	Fixed annual license (defended)	Outcome: Retainer + % spend
ARR ($M)	$100	115	120
Variable Cost %	35%	35%	25%
Gross Margin %	65%	65%	75%
OPEX ($M)	60	60	150
Breakeven Rev ($M)	~$92M (at risk)	~$92M (fixed, defended)	~$200M





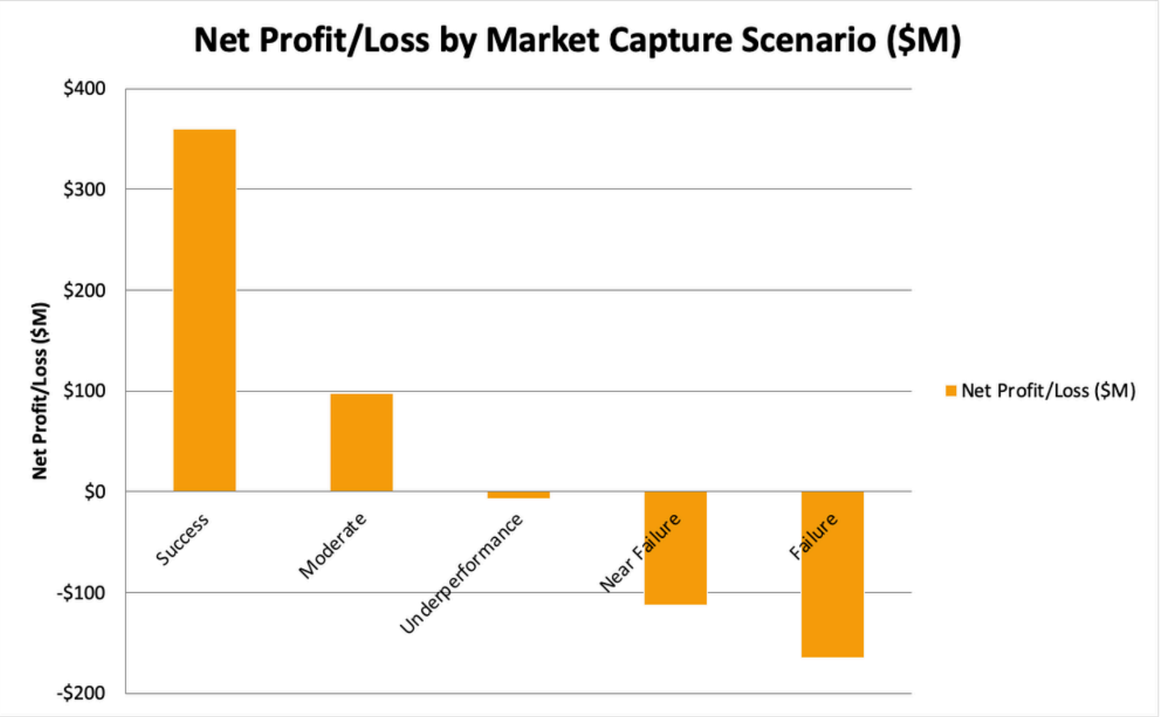
For CDP: Breakeven ~ $ 92 M revenue, where operating income crosses zero.

For AdTech: Breakeven ≈ $200 M Amperity revenue, equivalent to ~ $2.0 B ad spend at 10 % commission.

ADTECH MARKET CAPTURE SCENARIOS

$700B Digital Ad Market

Scenario	Market Share %	Amperity Rev ($M)	Net Profit/Loss ($M)
Success	0.10%	$700	$360
Moderate	0.05%	$350	$98
Underperformance	0.03%	$210	-$8
Near Failure	0.01%	$70	-$113
Failure	0.00%	$0	-$165



Success case: At 0.10 % share (~$700 M revenue), Amperity could earn ≈ $360 M net profit, indicating strong operating leverage.

Moderate scenario: Around break-even with $350 M revenue, covering both OpEx ($150 M) and CapEx ($15 M).

PRICING STRATEGY

Price should sit just below Perceived Value, capturing maximum customer surplus while leaving enough to justify the buy. The gap between Price and COGS is the margin Amperity gets to keep.

Total Economic Value
Full value the product creates for the customer

Perceived Value
What the customer believes they're getting, set by sales

Price Charged
Where Amperity captures its share, must sit below PV

Cost of Goods Sold
Variable cost floor, below this, Amperity loses money

PATH A · CDP CORE

PRICING MODEL

Fixed Annual License

Predictable SaaS revenue · Tiered by customer size

- Locks in stable ARR, insulates Amperity from ad market cycles
- Clients' value is in always-on identity resolution, not one-off queries, annual billing matches usage pattern
- Fixed price = full 65% GM captured regardless of how much data clients push through
- Removes budget approval friction, one annual PO, not monthly surprises

+

PATH B ·ADTECH PIVOT

PRICING MODEL

Retainer + % of Ad Spend

Aligned incentives · Amperity wins when the client wins

- Outcome-based pricing captures a share of the $700B ad market not just the $5B CDP market
- Retainer + % spend aligns Amperity's revenue with advertiser performance - trust builder
- Higher gross margin (75–82%) because Amperity's cost is data infrastructure, not media buying
- 1P data moat: advertisers can't get Amperity's identity precision anywhere else post-cookie

Path A is the Financial Floor ·Path B is the Growth Ceiling· Amperity needs both to reach IPO readiness

Option Comparison: Why Neither Path Alone Is Enough

Dimension	Path A – Core CDP (GM Defense)	Path B – Paid Media (ROAS Offense)
Primary Buyer	IT leaders, data analytics teams	CMOs, growth officers, ad agencies
Pricing Model	Base License + Usage (TB ingestion + activation velocity)	Fixed retainer + $0.03 per verified conversion
TAM	$5B CDP market	$700B digital advertising market
Competitive Moat	ML identity resolution, live ID graphs	1P data precision + conversion API
Time to Revenue	Immediate - repricing at contract renewal	12 - 18 months to first meaningful ARR
Key Risk	$5B ceiling · Margin squeeze without pricing reform	New sales motion · Attribution dependency on Meta/Google
IPO Relevance	"Salesforce of CDP" - modest multiple	Ad-tech + data platform - premium multiple

The verdict: Path A is the financial floor. Path B is the growth ceiling. Amperity needs both

From CDP to Data-ROI Platform: The IPO Play

Recommendation: Stabilize CDP margins now to bankroll the ads pivot that takes Amperity to IPO

01 GM Defense (0–12 months)

- Transition all renewing contracts from fixed pricing to Base License + Usage model
- Charge on two usage dimensions: TB ingestion volume and activation velocity
- Build self-serve onboarding to reduce implementation cost per new client
- No new sales motions- keep selling to IT and analytics buyers you already know
- Freeze ads pivot investment until margin target is hit



02 Growth Offense (12–36 months)

- Launch paid media activation product — target 50 existing CDP clients first
- Pricing: fixed retainer + $0.03 per verified conversion (no commission model)
- Retrain existing sales reps to sell into CMOs at current accounts before hiring new headcount
- Build conversion API to share first-party signals with Meta and Google
- Use look-alike modeling off existing customer profiles to demonstrate ROAS recovery

03 Integration and IPO Readiness (30–36 months)

- Bundle CDP and Ads into a single Data-ROI Platform — one contract, one data foundation, two revenue streams
- Reframe TAM from $5B CDP to $700B digital advertising market in all investor conversations
- Conversion API partnerships with Meta and Google become the core platform moat
- Add generative AI layer — automated audience recommendations and creative generation on unified profiles
- IPO narrative: the only platform that unifies customer data and activates it for acquisition without third-party trackin



THANK YOU!